

Not everyone has access to a 457(b) account to defer large amounts of money. Once you max out available tax-deferred investing, consider contributing money to a Roth IRA. The contribution limit for a Roth IRA for 2019 is \$6,000 per person. Roth accounts have income caps above which you are not eligible to contribute. In 2019, the phase-out starts for individuals earning more than \$122,000, and you can't contribute at all if you make more than \$137,000. For a married couple, the amount you may contribute starts to decrease with incomes over \$193,000, and you can't contribute at all if income is greater than \$203,000. That is where most people stop. But those who *Choose FI* are not most people.

Physician on FIRE shared that after maxing out all of his available options for tax-deferred saving, he still wanted to contribute to a Roth IRA. He used what is referred to as a "backdoor" Roth IRA contribution because of his high income as a physician. A backdoor Roth requires making a contribution to a non-deductible IRA account, then immediately converting it to a Roth IRA where it can grow tax-free and be withdrawn without taxation. You accomplish the same thing as a direct Roth IRA contribution but have to add a step to put the money in through the "backdoor" to sidestep the income limit. Choosing FI sometimes means solving a problem differently.